

# MERTON DAILY BRIEF - Friday, June 5, 2026

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## ## HEADLINE OF THE DAY

**\*US Jobs, Iran War & AI Mania: Wall Street's triple test this Friday.\***

S&P 500 futures tick lower ahead of the May NFP report (consensus: +130K jobs, unemployment steady at 4.2%). Military escalation in Iran - Hezbollah rejects truce, Pompeo announces new sanctions - pushes WTI to **\$93.1** (+1.0%) and Brent to **\$95.5**. Asia: South Korea plunges **-5%** in the wake of US tech (Broadcom -7%, Micron, ARM falling). Gold consolidates at **\$4473** after its historic rally, Bitcoin corrects heavily to **\$62.6K** (-12% from last week). DXY strengthens to **99.38**, US 10Y yields breathe at **4.48%** ahead of data.

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## ## GLOBAL SENTIMENT

**\*\*VIX\*\* ? \*\*15.40\*\* (+0.52%) | ? Low / Complacency**

**\*\*DXY\*\* ? \*\*99.38\*\* (+0.19%) | ? Neutral**

**\*\*GOLD\*\* ? \*\*\$4473\*\* (-0.04%) | ? Consolidation**

**\*\*US 10Y\*\* ? \*\*4.477%\*\* (+2.4bps) | ? Neutral**

**\*\*US 30Y\*\* ? \*\*4.978%\*\* (-1.5bps) | ? Curve flattening**

**\*\*S&P 500\*\* ? \*\*7584.31\*\* (+0.27%) | ? Futures lower today**

**\*\*NASDAQ\*\* ? \*\*26830.96\*\* (-0.32%) | Tech under pressure**

**\*\*WTI\*\* ? \*\*\$93.10\*\* (+1.02%) | Geopolitics**

**\*\*BRENT\*\* ? \*\*\$95.46\*\* (+0.51%) | Geopolitics**

**\*\*BTC\*\* ? \*\*\$62672\*\* (-12.1%) | Crypto correction**

**\*\*COPPER\*\* ? \*\*\$6.437\*\* (-1.33%) | China slowdown**

**\*\*SILVER\*\* ? \*\*\$72.68\*\* (-3.1%) | Industrial metals under water**

**Read:** The dashboard is mixed. VIX remains low (15.4) but oil prices show the Iran risk premium is real. BTC -12% = risk-off signal in crypto. Industrial metals (-1.3% copper, -3.1% silver) suffer from China slowdown fears. Gold holds up despite everything, showing refuge demand stays intact. Today's key catalyst is NFP: a weak print (<100K) = stagflation fears + Fed dovish = rally risk-on. Strong (>180K) = yields up + DXY up + equities pullback.

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## ## MACRO - WHAT MOVED

### ### US

**NFP May today (14:30 CET):** Consensus +130K jobs, unemployment 4.2%. Yesterday's JOLTS showed slowing job openings. Weekly jobless claims rose to their highest since February - fueling slowdown fears.

**Fed Daly (SF):** Declared the Fed is ready to respond "either way" on rates - dovish language keeping the market in wait mode. No rush to cut.

**US 10Y yields at 4.48%:** Pausing after the week's rise. Market pricing Fed rate hold at 4.25-4.50% until September, with first 25bp cut in Q4 as the central scenario.

**Small business hiring plans (NFIB):** Lowest since May 2020 - alarming signal for employment if confirmed in NFP.

**US-Iran talks stall:** Pompeo announces new sanctions, Hezbollah rejects truce. Oil pricing in ~\$8-10

risk premium.

**Morgan Stanley Sheets:** Discusses "what's next for the Fed" - internal consensus inflation still too high for an imminent cut.

### ### Europe

**European stocks lower:** Stoxx 600 follows Asia down. But defense sector rallies after Ukraine ratifies **\$105 billion EU loan deal**.

**UK job cut notices:** Highest since 2020 - the impact of the Iran war is starting to bite European real economy.

**Burnham confirms:** He will replace Starmer as Labour leader - UK political instability weighing on GBP.

**UK-China ties thaw:** London eyeing a larger slice of the RMB internationalization pie.

### ### China / Asia

**South Korea -5%:** KOSPI plunges following US semiconductors (Broadcom lost \$285B in market cap!). Samsung and SK Hynix dragged down.

**RBI India holds rate at 5.25%** but **cuts growth forecasts and raises inflation projections** - stagflation risk in India. RBI also took measures to support the rupee.

**India hikes gold import duties:** Modi raises taxes on gold/silver to protect the rupee - measure that orients physical gold demand in Asia.

**Xi to visit North Korea** next week for the first time since 2019 - geopolitical signal to Washington at a tense moment.

**Iron ore:** Futures heading for fourth consecutive weekly loss on seasonal lull in Chinese demand.

**Top Chinese insurers** start buying dim sum notes via Bond Connect - capital flows diversifying out of domestic Yuan.

### ### UK / EM

**Ireland GDP -12% Q1:** Statistical shock from multinational sector (profit shifting). Not representative of real economy but hits sentiment.

**Romania stagflation:** Political gridlock is sapping the fight against stagnation + inflation.

**Bank Indonesia** gets new growth mandate with parliamentary oversight. DBS sees room for 50bp more Indonesia hikes in 2H 2026.

**Thailand:** Inflation unexpectedly eases, remains within target range.

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## ## GEOPOLITICS

### ### Hot

**Iran/Hezbollah rejects truce:** US-Iran talks at a standstill. Pompeo announces new sanctions. Ships stranded in the Persian Gulf, discreet coordination with US Navy to exit Hormuz. WTI at \$93 pricing this in.

**Ukraine \$105B EU loan ratified:** Massive financial support. European defense sector benefits.

### ### Watch

**Xi ? North Korea** (next week): First visit since 2019 - direct signal to Washington amid US-China tariff tensions.

**US-India trade deal:** Trump shows confidence in a major upcoming deal. India seeks deeper oil ties with Venezuela.

**SpaceX IPO:** Musk allocates part of the offering to retail investors - record IPO in the making. Potential tech sentiment catalyst.

**US sanctions Cuba:** Trump ramps up pressure, sanctions Diaz-Canel.

### ### Positive

**EU-China trade gap talks:** EU trade envoy urges China to fix trade gap at Paris meeting.

**Korea current account surplus** stays near record on chip boom.

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## ## FX FOCUS

`EUR/USD` ? **1.1621** (-0.24%) | EUR weakness

`GBP/USD` ? **1.3429** (-0.17%) | ? GBP under political pressure

`USD/JPY` ? **159.93** (+0.36%) | JPY weak, intervention risk

`USD/CHF` ? **0.7890** (+0.91%) | CHF underwater

**Analysis:** The dollar is broadly bid (DXY +0.19%) in a geopolitical risk-off context. USD/JPY rises toward 160 - possible BOJ/Japanese Treasury intervention zone. Japan likely sold Treasuries to fund a record yen intervention per Bloomberg. BOJ's slow tightening pace keeps the yen weak (Nomura Koo). Mitsubishi UFJ AM estimates BOJ may need a "jumbo" 50bp hike to support the yen - very hawkish. EUR/USD below 1.1650 shows investors turning away from Europe amid Iran risks. CHF temporarily loses refuge status as flows favor the dollar.

**\*\*Pair to watch:\*\* `USD/JPY` - Zone 160.0-160.5 = BOJ intervention threshold. Break above 161.5 =**

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## ## COMMODITIES

### ### Oil

WTI at **\$93.1** (+1.0%), Brent at **\$95.5** (+0.5%). Oil consolidates after this week's surge: Iran risk premium well integrated but market hesitates - peace talk optimism partially calms the market. WTI briefly touched \$95 this week. A diplomatic resolution could quickly bring WTI back to \$82-85 (fundamental price). BP under pressure ahead of its AGM.

### ### Gold

\*\$4473 - **Gold consolidates after its massive rally. Options show significant moves (Options Action on CNBC). UBS notes the yen stays under pressure given Japan's negative energy balance. Grasso (CNBC) sees gold rising when the Fed opens the door to rate cuts, but it may take time.** Gold is waiting\*\* - a Fed cut = massive bullish catalyst toward \$4600-4800.

### ### Silver & Copper

Silver at **\$72.68** (-3.1%) - correcting sharply, industrial metals suffer from China slowdown fears. Copper at **\$6.44** (-1.3%) in the same move. Morgan Stanley says gold's role in portfolios is being questioned, but another metal is set to outperform - likely silver or platinum.

### ### Crypto / Others

**Bitcoin** at **\$62.6K** (-12% from peak). Strategy sold, unnerving crypto traders. "Bitcoin Treasury firms" shed \$62 billion in market cap.

**Iron ore:** 4th weekly loss - seasonal slowdown in Chinese demand.

**Dim sum bonds:** Chinese insurers start buying - diversification out of domestic Yuan.

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## ## TODAY'S CALENDAR - June 5

| Time (CET) | Country | Event                    | Consensus | Previous | Impact |
|------------|---------|--------------------------|-----------|----------|--------|
| 14:30      | US      | **NFP May (non-farm pay) | +130K     | +175K    |        |
| 14:30      | US      | Unemployment rate May    | 4.2%      | 4.2%     |        |
| 14:30      | US      | Average hourly earnings  | +0.3%     | +0.2%    |        |
| 16:00      | US      | Wholesale inventories    | N/A       | +0.2%    | ?      |

\*Rest of the week:\*\*

Mon 9: UK Holiday (Whit Monday), no major US data

Tue 10: NFIB Small Business Optimism

Wed 11: **US CPI May** (consensus +0.2% m/m, 2.4% y/y) - **MAJOR CATALYST**

Thu 12: US PPI May, Jobless Claims

Fri 13: UMich Consumer Sentiment preliminary June

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## ## DEEP MACRO THEME

\*The world is re-pricing stagflation, but markets won't admit it yet.\*\*

The divergence between VIX at 15.4 (total complacency) and oil at \$93 (elevated risk premium) is the central contradiction of the moment. On one hand, the US equity market still believes in the soft landing: S&P 500 earnings are good, AI is a structural narrative, the Fed will cut soon. On the other hand, warning

signs are accumulating: US wages show signs of slowing (JOLTS, small business hiring), jobless claims are rising, Europe is starting to suffer from the Iran war (UK job cuts), and Bitcoin's -12% correction shows liquidity is being withdrawn from the most speculative assets.

The real risk is not a brutal recession - it's a **stagflationary quagmire** where inflation stays above 2.5% due to energy and Trump tariffs, while growth decelerates gently. In this scenario, the Fed cuts late and timidly, the DXY stays strong, emerging markets suffer (India, Indonesia, Korea), and gold is the big winner - waiting for the Fed catalyst. Xi/Trump also play a role: if tariffs intensify, it's inflationary + slowdown = pure stagflation.

What would change everything: an Iran ceasefire (-\$10 oil) OR a very strong NFP >200K (risk-on rally) OR Wednesday's CPI above 2.6% (stagflation trade accelerates). We play 3 scenarios but position for the 3rd.

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## ## CONSENSUS VS REALITY

### ### What the market is pricing:

1. **US soft landing = central scenario:** The market still believes in a gentle landing with 2%+ growth and inflation converging to 2%. Partially validated by earnings, but the labor market is showing cracks.
2. **First Fed cut in September/October:** Priced by Fed Funds futures. Problem: if inflation rises due to oil, this cut doesn't happen. The market is too confident on timing.
3. **Tech/AI leadership will continue:** Broadcom just lost \$285B in market cap on disappointing guidance. Micron, ARM are falling. AI mania is being seriously tested (Bloomberg: "AI Mania Gets Tested"). The market hasn't adjusted yet.
4. **Iran war is an ephemeral market event:** VIX at 15.4 and S&P at 7584 (near records) show the market is ignoring geopolitical risk. If the Strait of Hormuz partially closes, oil could spike to \$110-120 in days = violent market reaction.
5. **Gold will consolidate after its rally:** Consensus sees a pause. But central banks (China, India, etc.) keep buying. ETF flows are massive. The bullish structure is intact.
6. **Bitcoin is "digital gold" that rises with risk-on:** BTC/actions correlation is being questioned by the -12% drop while S&P is nearly flat. BTC is actually a liquidity beta asset, not a refuge.
7. **Europe will slow but avoid recession:** The \$105B Ukraine loan demonstrates support is there, but UK job cuts and Romania stagflation show the Iran shock is starting to bite.

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### ### The Alpha - Trade Ideas:

1. **DAILY: Long GOLD / Short BTC** - Gold holds at \$4473 despite dollar strength, BTC breaks support. Pair trade benefiting from refuge vs speculative divergence. Entry Gold >\$4450, BTC <\$63K. Invalidation: BTC >\$68K cancel.
2. **SWING: Short USD/JPY on rally toward 160-160.5** - BOJ will intervene if we approach 160. Political risk (intervention) is at its peak. Stop above 161.5, target 157.5.
3. **SWING: Long WTI oil if <\$88 (pullback)** - The bullish oil structure is intact as long as Iran is unresolved. Any correction to \$89-90 is a long entry. Target \$98-100 if escalation. Invalidation: Iran ceasefire = short oil toward \$82.
4. **POST-NFP: Short S&P 500 if NFP >180K** - Paradoxically, excellent NFP = yields up + DXY up = equities down. The market doesn't price this scenario.
5. **LONG TERM: Long Copper (HG) on weakness** - At \$6.44 copper is oversold short-term. AI/data center/electrification demand is structural. By Q3, Chinese orders should recover. Long on weakness <\$6.50, target \$7.20.

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## ## MERTON'S TAKE

We are in what I call a "**calm before the re-pricing.**" The equity market is navigating at elevated levels (S&P 7584) on autopilot assuming soft landing + Fed cuts + AI = paradise. But three fractures are already visible that the consensus refuses to see:

**\*First\***, the US labor market is cracking. Small business hiring plans are at their lowest since COVID, jobless claims are rising, and JOLTS shows fewer openings. Today's NFP could be a moment of truth: between 100-150K = the market shrugs. Below 100K = panic moment. Above 180K = good news paradox = bad for equities (yield up).

**\*Second\***, Iran geopolitics is not priced. VIX at 15.4 while WTI is at \$93 and ships must coordinate with the US Navy to exit the Gulf is pure complacency. If the Strait of Hormuz closes, oil could go to \$110-150 depending on duration. This isn't the central scenario but it's an underestimated tail risk.

**\*Third\***, the tech crack is real. Broadcom lost \$285B in market cap. This is the largest single-stock value destruction in a long time. It won't be isolated - AI expectations are extraordinarily high and any disappointment will be severely punished. Korea -5% this morning is the start of a recalibration of the "buy everything AI" trade.

**\*My conviction: I am neutral-slightly bearish on S&P short-term (target 7400-7450 if NFP disappoints), very bullish gold (target \$4800 in 2026), and short Bitcoin\*** as a liquidity distress proxy. Trade of the week: be long vol via VIX calls or SPX options, and wait for geopolitics to finally catch up with market pricing. The VIX at 15 won't last if oil breaks \$100.

**\*Positioning:\*** Long Gold (via ETF or physical), Short USD/JPY on rally, Neutral US equities, Long oil on dips. Avoid broad AI tech - select only Mega Cap with proven cash flow (MSFT, AAPL). Avoid BTC under \$60K.

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#### ## SOURCES CONSULTED

**Yahoo Finance API:** Real-time prices for VIX, DXY, Gold, S&P 500, NASDAQ, WTI, Brent, BTC, Copper, Silver, US 10Y, US 30Y, EUR/USD, GBP/USD, USD/JPY, USD/CHF

**Bloomberg RSS** (markets, economics, politics) - 30+ headlines

**CNBC** (world, markets, gold, economy, fed, oil sections) - Card-title scraping

**FT RSS** (home + markets) - 25 headlines

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